

Chapter 7: Basic Elements of Planning and Decision Making

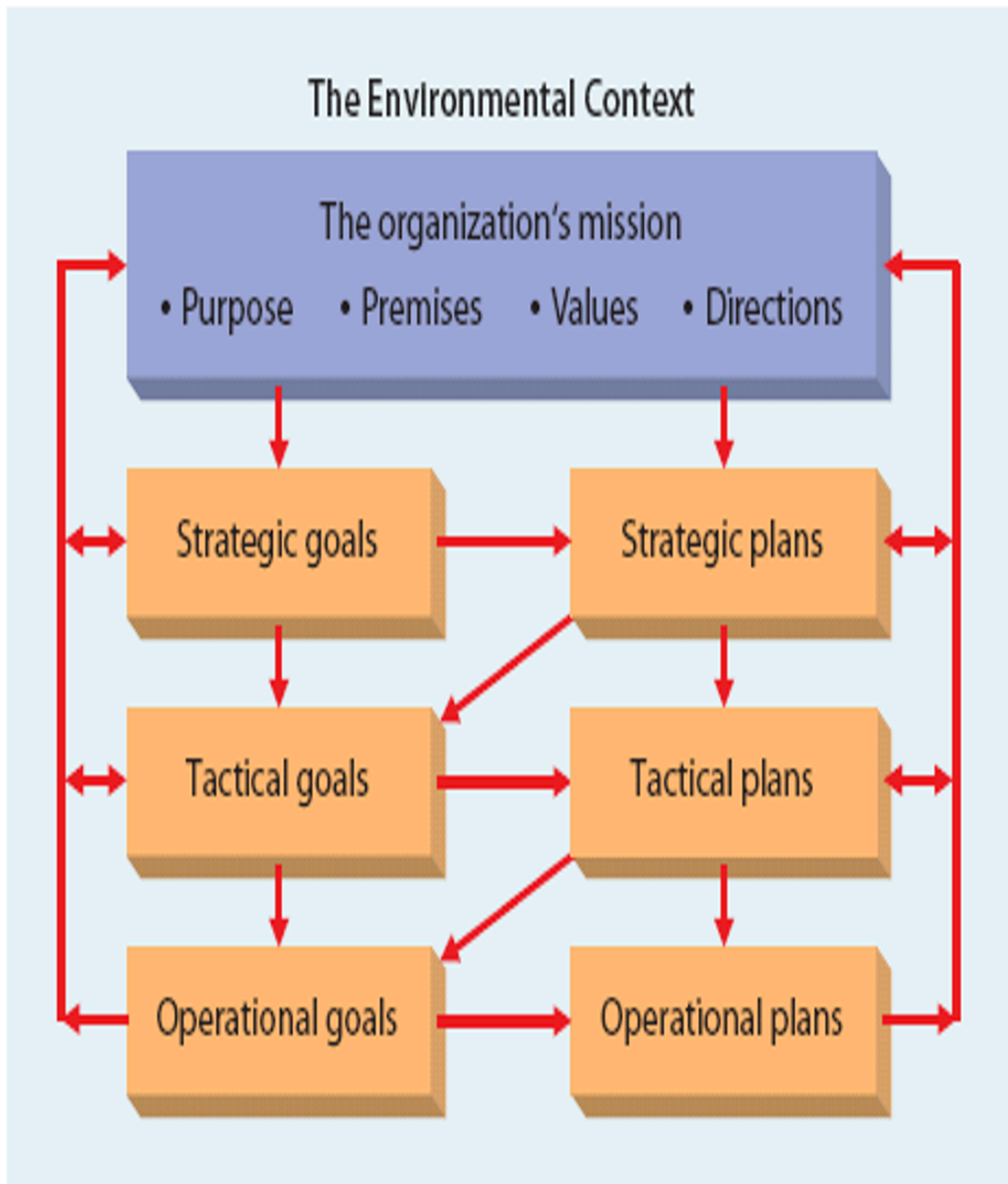
1. What is Decision Making and How Does it Relate to Planning?

- **Decision Making** is the cornerstone(ভিত্তিপ্রস্তর) and catalyst(অনুঘটক) of planning. It drives every part of setting goals and formulating plans.
 - **Planning** is necessary for all organizations, happening in various ways, and is tied(বাঁধা) to achieving higher organizational goals.
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2. What is the Planning Process?

The planning process takes place within an **environmental context**. Managers:

- Understand the environment.
- Determine the mission.
- Develop **strategic**, **tactical**, and **operational** goals and plans accordingly.



3. What are the Purposes of Organizational Goals?

Goals:

- Provide **guidance** and **unified direction**.

- Affect the **quality of planning**.
 - Motivate employees.
 - Serve as a mechanism for **evaluation and control**.
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4. What are the Kinds of Organizational Goals?

- **By Level:**
 - Mission Statement
 - Strategic Goals
 - Tactical Goals
 - Operational Goals
 - **By Area:** Goals specific to different functional areas like marketing, finance, HR, etc.
 - **By Time Frame:**
 - Long-term
 - Intermediate-term
 - Short-term
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5. Who is Responsible for Setting Goals?

- **All managers** are involved in goal-setting, corresponding to their levels in the organization.
 - **Managing Multiple Goals:** Managers may **optimize** (balance conflicting goals) or **prioritize** one over others.
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6. What are the Kinds of Organizational Plans?

- **Strategic Plans:**

- Developed by top management for resource allocation and priorities.
 - **Tactical Plans:**
 - Developed by middle management to achieve tactical goals.
 - **Operational Plans:**
 - Developed by lower-level managers focusing on short-term tasks.
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7. What are the Different Time Frames for Planning?

- The Time Dimension of Planning

Planning must provide sufficient time to fulfill the managerial commitments involved.

- Long-range Plans
 - Cover present and future strategic issues extending beyond five years in the future.
 - Intermediate Plans
 - Cover from 1 to 5 years and parallel tactical plans.
 - Are the principal focus of organizational planning efforts.
 - Short-range Plans
 - Are action plans and reaction (contingency) plans that have a time frame of one year or less.
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8. Who is Responsible for Planning in an Organization?

- Planning Staff
 - Gather information, coordinate planning activities, and take a broader view than individual managers.
- Planning Task Force

- Formed to handle specific issues or challenges that need special attention.
 - **Board of Directors**
 - Establishes corporate mission and strategy.
 - May engage in strategic planning.
 - **Chief Executive Officer**
 - May serve as president or board chair; has a major role in planning and implementing the strategy.
 - **Executive Committee**
 - Composed of top executives.
 - Meets regularly with the CEO to review strategic plans.
 - **Line Management**
 - Have formal authority and responsibility for management of the organization.
 - Help to formulate strategy by providing information.
 - Responsible for executing the plans of top management.
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9. What are Contingency Planning and Crisis Management?

- **Contingency Planning**(আকস্মিক পরিকল্পনা): Developing alternative plans in case the original plan fails due to unexpected disruptions.
 - **Crisis Management**: Having a plan ready for dealing with unexpected emergencies or problems.
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10. How Are Tactical Plans Developed and Executed?

Tactical plans are used to accomplish specific parts of a strategic plan, and each strategic plan is generally implemented through several tactical plans. Effective tactical planning requires both development and execution.

Developing tactical plans:

- Recognize and understand strategic plans and tactical goals

- Specify relevant resource and time issues
- Recognize and identify human resource commitments

Executing tactical plans:

- Evaluate each course of action in light of its goal
- Obtain and distribute information and resources
- Monitor horizontal and vertical communication and integration of activities
- Monitor ongoing activities for goal achievement



Figure 7.4

DEVELOPING AND EXECUTING TACTICAL PLANS

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11. What are the Types of Operational Plans?

- **Single-Use Plans:**
 - **Program:** A broad single-use plan.
 - **Project:** A narrower single-use plan.
- **Standing Plans:**

- **Policy:** General responses to problems.
 - **Standard Operating Procedure (SOP):** Step-by-step instructions.
 - **Rules and Regulations:** Specific rules for particular actions.
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12. What are the Barriers to Goal Setting and Planning, and How to Overcome Them?

- **Barriers:**
 - Inappropriate goals
 - Improper reward systems
 - Dynamic and complex environment
 - Reluctance(অনিচ্ছা) to establish goals
 - Resistance(প্রতিরোধ) to change
 - Constraints(সীমাবদ্ধতা)
 - **Overcoming Barriers:**
 - Understand the purpose of goals and planning.
 - Improve communication and participation.
 - Ensure consistency, revisions, and updates.
 - Develop an effective reward system.
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